# 3.3.3 Segmentation

Unit 3.3 Marketing management · 8 key points

- **Segmentation:** dividing a market into groups of customers with similar needs
- **Bases named by AQA:** demographic, geographic, income and behaviour
- **Demographic:** age, gender, family size
- **Geographic:** where customers live
- **Income:** how much customers earn
- **Behaviour:** how customers buy and use the product, e.g. loyalty, usage rate
- **Benefits:** products and promotion fit customers better; can charge higher prices
- **Drawback:** costs more than one mass approach